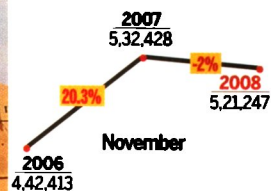


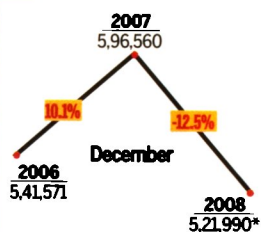


PURUSHOTTAM DWIVAKAR

FOREIGN TOURIST ARRIVALS



20% projected drop in tourism revenue this year.



*Figure only from major gateways and does not include smaller gateways

■ Change in arrivals

Source: Ministry of Tourism

tary spa treatments and upgrades, hotels are rolling out the proverbial red carpet for guests. Similarly, airlines have announced a significant reduction in fare, even as it coincided with a drop in air turbine fuel prices. While Jet Airways has reduced fares on its domestic routes by up to 40 per cent and Air-India by nearly 82 per cent on many metro routes, British Airways has slashed fares for its India-London flight by 35 per cent. Meanwhile, Kingfisher, Paramount and Air-India are offering free travel for spouses of business class travellers.

While latest figures show that business travel has begun to pick up, leisure travel remains abysmally low. And that is keeping hoteliers awake at night. "While our metro properties have not been so badly hit, thanks to business travellers, our resort properties have been worse off," says Vivek Nair, vice-chairman and managing director of the Leela Group of Hotels.

Yet, going by CRISIL Research, worse may still lie ahead. The agency expects the profitability of premium hotels (five-star deluxe and five-star) to be hit significantly, thanks to the decline in occupancy rates from falling demand coupled with an oversupply of rooms. It forecasts the demand for rooms in the premium segment to fall by 11 per cent in 2008-09 compared to the previous year, and further decline by 15.5 per cent in 2009-10,

even as room inventory could grow at 9 per cent from 2007-08 to 2011-12 across 12 major cities. So average room rates could fall by around 23 per cent in 2009-10 and decline further by around 18 per cent in 2010-11.

According to Ankur Bhatia, executive director of the Bird Group, the Government will now have to stimulate the market for leisure, mostly domestic, where opportunity lies. Based on the recommendations of the Advisory Council, the Ministry of Tourism has declared 2009 as Visit India Year and has offered enhanced benefits to tour operators that include subsidies in participation fee for international fairs, while promoting India as an aggressive rural, adventure and wellness tourism destination, says Leena Nandan, joint secretary in the ministry. Other recommendations of the council include a reduction in luxury tax from 12.5 per cent to 5 per cent and delinking service tax exemption on foreign exchange earnings offered to exporters. The ministry is also offering foreign travellers one room night stay, one free air ticket, one complimentary sight-seeing city tour and one rural tour, besides one free domestic round trip.

It's a long journey to recovery and that signature setting sun in tourism posters is starting to look like an ominous metaphor for the industry.

with M.G. Radhakrishnan and Rohit Parihar

“The ministry should announce a stimulus package for the tourism industry. A tax cut is required.”

VIJAY THAKUR,
President, IATO

